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EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

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1. What SSLC Holders Receive

Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.

Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.

Component	Low	Base	High	When / Notes
Cash at close	$2,510K	$2,510K	$2,510K	Close ~Q1 FY27
SSLC transaction costs	$60K	$60K	$60K	Close; seller-side
Credit for Exos's existing stake	$790K	$790K	$790K	Close (non-cash credit)
SSLC debts paid at face	$500K	$500K	$500K	Close; ~$500K TBV in QB
Working-capital bridge	$500K	$500K	$500K	Close
① Cash & debt relief at close	**$4,360K**	**$4,360K**	**$4,360K**	**Cash + costs + stake credit + debts + WC bridge**
+ Exos equity — $1.0M fixed EAI units (Rule 504, ~0.59% at 409A ~$170M)	$1,000K	$1,000K	$1,000K	EAI units issued as part of Exos's Rule 504 offering, at the 409A value; $1.0M counts toward Rule 504 $10M cap; issued at financing close
② Total at financing close (① + equity)	**$5,360K**	**$5,360K**	**$5,360K**	
Tank earn-out: 5% of SSLC's IM tank revenue/yr, cap $300K/yr, FY27–FY31	$750K	$1,250K	$1,500K	Single 5% rate; scenario = revenue SSLC achieves: Low $3M/yr → $150K/yr; Base $5M/yr → $250K/yr; High $6M+/yr → $300K/yr (cap)
Milestone M1: SSLC FY2026-27 rev ≥$5.1M	$200K	$200K	$200K	Pays FY28 Q1 if verified (all scenarios: mgmt base case)
Milestone M2: Nebula/OTV production contract signed	—	$200K	$200K	Pays at contract execution (any year FY27–FY30)
Milestone M3: SSLC annual rev ≥$10M	—	$250K	$250K	Pays first year threshold hit (est. FY29 at base/high)
Milestone M4: SSLC annual rev ≥$20M	—	—	$250K	Pays first year threshold hit (est. FY31 at high)
Milestone M5: BLK3 tank qualification complete	—	—	$200K	Pays at Exos BLK3 tank cert (est. FY27–FY28)
Exos stock earn-out at listing (on top of ~0.59% EAI up-front)	$0	$625K	$1,500K	Post-RTO ~FY29; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A: $0/$424K/$848K. Total Exos equity: ~0.59%/~0.84%/~1.09%.
③ TOTAL OFFER VALUE, 5-yr (② + earn-outs; earn-out stock at listing)	**$6,310K**	**$7,885K**	**$9,460K**	**FY27–FY31. HIGH < $10M target — not rebalanced.**
IF HELD: all Exos stock projected in FY2031 (replaces listing earn-out)	**$6.7M**	**$9.6M**	**$12.4M**	**Total stake ~0.59/0.84/1.09% → ~0.41/0.59/0.76% after ~30% dilution × ~$1.63B FY31 EV (16× v12 EBITDA). Projection only; on SSLC-actuals case ~$0.7–1.3M.**
④ TOTAL IF STOCK HELD TO 2031 (① + tank + milestones + 2031 stock)	**$12.0M**	**$15.8M**	**$19.4M**	**Alternative to ③, NOT added to it. Forward-looking projection, not a promise; RTO may not close.**

Earn-Out Targets: FY27–FY31

Earn-out	Target SSLC must hit	Low	Base	High	Pays
Tank earn-out 5% of IM tank revenue/yr, cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr → $150K/yr → $750K total	$5.0M/yr → $250K/yr → $1.25M	$6.0M+/yr → $300K/yr (cap)	Annual, FY27–FY31

			total	→ $1.5M total	
M1: SSLC FY2026-27 rev ≥ $5.1M → $200K	SSLC FY27 annual revenue ≥ $5.1M	✓	✓	✓	FY28 Q1 (if verified)
M2: Nebula/OTV production contract → $200K	Nebula/OTV production contract signed	—	✓	✓	At contract execution
M3: SSLC annual rev ≥ $10M → $250K	SSLC annual revenue ≥ $10M	—	✓	✓	First yr hit (est. FY29)
M4: SSLC annual rev ≥ $20M → $250K	SSLC annual revenue ≥ $20M	—	—	✓	First yr hit (est. FY31)
M5: BLK3 tank qualification → $200K	Exos BLK3 tank qualification complete	—	—	✓	At BLK3 cert (est. FY27–28)
Exos stock earn-out at RTO listing (additional to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (5-yr, ③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	

Earn-out totals verified: Low $750K+$200K+$0=$950K ✓ Base $1,250K+$650K+$625K=$2,525K ✓ High $1,500K+$1,100K+$1,500K=$4,100K ✓ (each = ③ minus ② = ③ minus $5,360K)

EAI units: $1.0M fixed (~0.59% FD) issued as part of Rule 504 offering at close; part of RTO public float; freely tradeable at listing (no lockup). Earn-out stock (0.0–0.5% additional) at RTO listing. Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'EAI Lockup & Liquidity' and 'Total Compensation' sheets.

3. Key Terms

Term	Detail
Agreement basis	May 2025 Asset Acquisition Agreement, §3 exclusivity trigger
Total commitment	$5,360,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + $500K WC + $1.0M EAI equity at 409A, Rule 504)
Exclusivity period	90 days from SSLC confirmation; extension not unreasonably withheld (§3)
Holdback (§7)	5% escrow, released at 12-month anniversary
SSLC debts assumed	Paid at face at close (est. ~$500K; verify QuickBooks)
SSLC employees	Exos offers employment to SSLC employees on terms no less favorable than current (incl. comp & benefits), subject to Exos hiring policies + confirmatory diligence; key-employee option pool set in the Definitive Agreement
Status	DRAFT — NEGOTIATING TERMS — not a final or binding offer

Rule 504: $1.0M toward $10M rolling 12-month cap; U.S.-only (Japan round is Reg S — keep distinct). EAI timeline: committed at board acceptance → issued at financing close (Q1 FY27 targeted) → freely tradeable at RTO listing (targeted ~6 mo post-close; not assured). Full detail: model → 'EAI Lockup & Liquidity' sheet.

Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without: sheet 'With vs Without Exos Capital' · RTO stock projection (mgmt assumption, not a guarantee): see model 'Total Compensation' / 'Returns and Dilution' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx

DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09